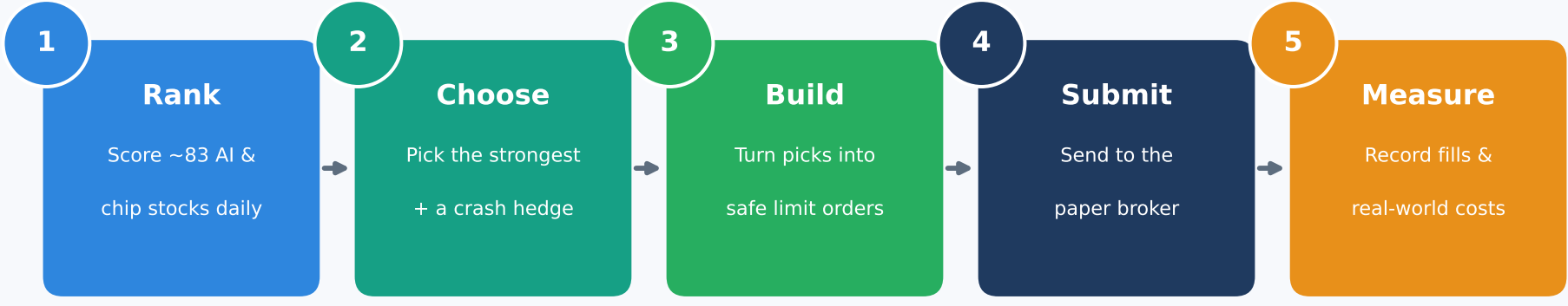


How the model_v4 system works

From a stock-picking model to simulated broker trades —
and what it would take to use real money

PAPER TRADING ONLY · no real capital at risk

The whole journey in five steps



1-2 · What the model decides



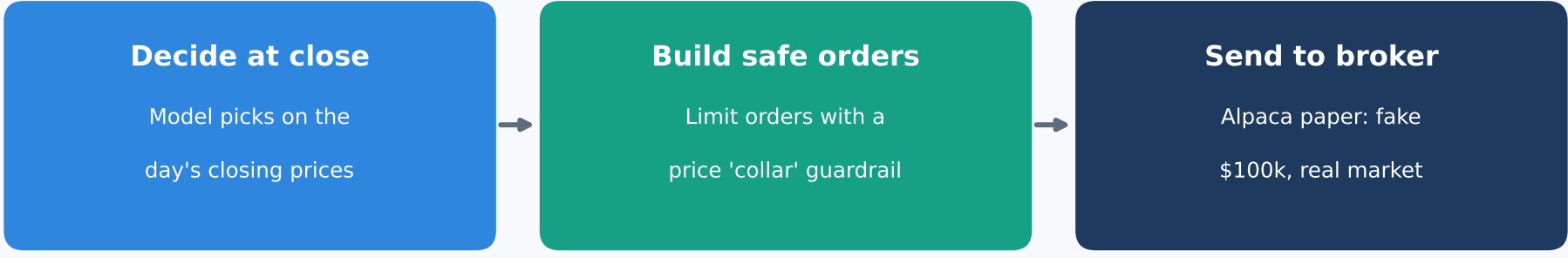
Built-in risk brakes



The crash hedge — a shield, not a bet

When the market jumps hard AND turbulence spikes (a classic 'pullback coming' warning), it buys a 1-day position that profits if semis drop — cushioning the book.

3-4 · From a decision to a (paper) trade



The collar: a guardrail sized to each stock's normal swing

Calm stock → tight (~1%)

Jumpy hedge → wide (~6%)

If the open gaps past the collar, the order simply doesn't fill — we skip it.

Safety rails (always on)

- ✓

PAPER ONLY — refuses any non-paper account
- ✓

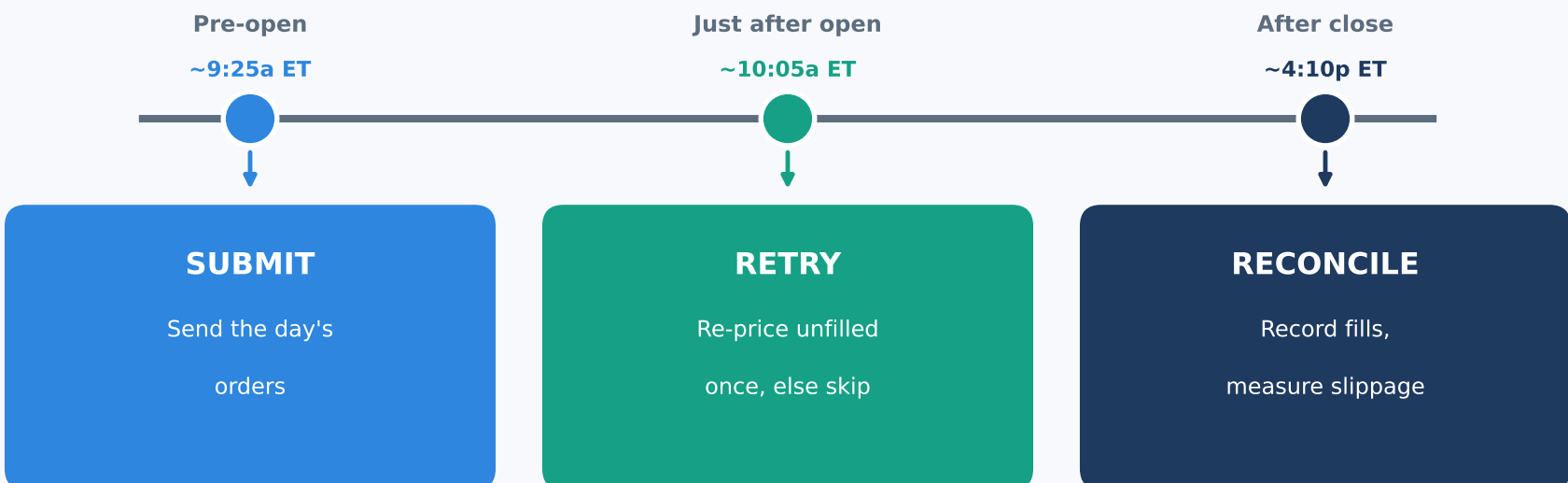
SUBMIT OFF BY DEFAULT — must be armed each time
- ✓

EVERY ACTION LOGGED
- ✓

BROKER IS THE SOURCE OF TRUTH

The daily rhythm — automatic, every weekday

SET-AND-FORGET: a scheduler (cron) runs all three steps by itself, Mon -Fri — you just review the results



'Slippage' = expected price – actual price (the hidden cost of trading).

We measure the TRUE cost to confirm the edge survives real-world frictions.

Proof · a real run, end to end

1. Preview (dry-run, sends nothing) → then submit live

```
(.venv) david@Davids-MacBook-Air ai-paper-trader % python src/broker_cron.py --phase open --account alpaca_tracker
2026-06-21T16:36:39 PHASE=open asof=2026-06-21 OK (dry-run) ~ 3 orders, 0 submitted
2026-06-21T16:36:39 BUY ARM qty 19 opp limit $455.17 collar 3.2% (tgt 19/now 0)
2026-06-21T16:36:39 BUY MRVL qty 27 opp limit $306.92 collar 3.5% (tgt 27/now 0)
2026-06-21T16:36:39 BUY SOXS qty 273 opp limit $3.80 collar 6.5% (tgt 273/now 0)

(.venv) david@Davids-MacBook-Air ai-paper-trader % BROKER_ADAPTER_ALLOW_SUBMIT=yes python src/broker_cron.py --phase open --account alpaca_tracker --live --prequeue
2026-06-21T16:36:50 PHASE=open asof=2026-06-21 OK (LIVE) ~ 3 orders, 3 submitted
2026-06-21T16:36:50 BUY ARM qty 19 opp limit $455.17 collar 3.2% (tgt 19/now 0)
2026-06-21T16:36:50 BUY MRVL qty 27 opp limit $306.92 collar 3.5% (tgt 27/now 0)
2026-06-21T16:36:50 BUY SOXS qty 273 opp limit $3.80 collar 6.5% (tgt 273/now 0)
```

2. The orders land ACCEPTED in the paper brokerage account

Paper Trading

Paper - RAJASDF000T

Search by symbol...

Open Live Account

Home

Account

Positions

Orders

Activities

Balances

Configure

Alpaca Connect

Plans & Features

API

Community

Support

Legal

Orders

View and manage your orders.

Search...

Cancel 0 selected

Filters

Columns

Clear All

Status: Open X

0 rows selected

Clear Selection

☐	Asset	Order Type	Side	Qty	Filled Qty	Avg. Fill Price	Status	Source	Submitted At	Filled At	Expires At	☐
☐	SOXS	Limit @ \$3.80	buy	273.00	0.00	-	accepted	-	Jun 21, 2026, 04:36:50 PM	-	Jun 22, 2026, 03:00:00 PM	☐
☐	MRVL	Limit @ \$306.92	buy	27.00	0.00	-	accepted	-	Jun 21, 2026, 04:36:50 PM	-	Jun 22, 2026, 03:00:00 PM	☐
☐	ARM	Limit @ \$455.17	buy	19.00	0.00	-	accepted	-	Jun 21, 2026, 04:36:49 PM	-	Jun 22, 2026, 03:00:00 PM	☐

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What this proves

The model's picks became priced orders a real brokerage accepted —
while every dollar stays simulated. Real money only follows the checkpoints below.

Next steps · what real money would take

PAPER
where we are

→

REAL
only if it earns it

1

Prove it over time
Many months across calm AND turbulent markets — not a lucky stretch.

2

Confirm costs don't kill it
Real slippage must stay small enough the live book still beats benchmarks.

3

Start tiny
Begin with money you could lose entirely; scale only after live matches paper.

4

Hard risk limits
Set a max loss, position caps, and a 'stop everything' rule in advance.

5

Know the real-world rules
Taxes, account types, and brokerage regulations differ for real money.

Important

A personal research tool, not financial advice. Simulated/past results don't
guarantee future returns. Only risk what you can afford to lose; consider a pro.

model_v4 paper-trading system · research tool, not financial advice